The Single Floor

Replacing the triple lock with a linked personal allowance and state pension

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This paper proposes replacing the state pension triple lock with a single, legislated figure that serves simultaneously as the full new state pension and as the income tax personal allowance.

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1. Summary

This paper proposes replacing the state pension triple lock with a single, legislated figure that serves simultaneously as the full new state pension and as the income tax personal allowance.

The two numbers are set equal, initially at the current personal allowance of £12,570, and thereafter uprated together by one rule: CPI, subject to a floor of 2.5% and a cap at the higher of 3% or average earnings growth, with any CPI above the cap banked and released in later years.

The proposal delivers three things at once:

1. **A permanent guarantee that the state pension alone never attracts income tax.** Not a concession, not a waiver, but a structural identity that cannot lapse at the end of a parliament.
2. **Relief for every taxpayer.** The personal allowance resumes rising, ending the current freeze and the fiscal drag it produces on low earners.
3. **A durable saving to the Exchequer**, by preventing the earnings ratchet from permanently lifting the baseline. The size and timing of that saving depend on the two specification dependencies set out below, and the headline comparisons usually quoted for triple lock reform cannot be claimed wholesale for this proposal. See section 6.1.

The design is deliberately constructed so that pensioner organisations, low pay campaigners and the Treasury each gain something material, and so that no group at the bottom of the income distribution takes a permanent real terms cut.

The claim made here is deliberately modest. This is not offered as a prudent tidying up exercise that smooths shocks and generates large savings. It is a change in the character of state pension uprating, accepting some decline relative to earnings over time, whose fiscal effect depends on how Parliament specifies the protections that make that change acceptable.

It is not, however, a tentative paper. What it establishes is architectural: that a single legislated Floor can unify the personal allowance and the state pension; that this delivers a guarantee no time limited concession can replicate, and does so identically for both pension systems and without cliff edges; and that constructing it forces into the open the statutory and distributional choices which the current patchwork conceals. The uncertainty set out below concerns the values Parliament would assign to specified parameters, not whether the architecture holds. Mapping that design space accurately is this paper's contribution. The fiscal estimate is not, and is not offered as one.

1.1 Critical specification dependencies

Stress testing has established a coherent policy architecture. The remaining uncertainty lies in the specification of identified mechanisms rather than in the architecture itself. Three places have so far been found where a single sentence was carrying an entire subsystem: describing what a mechanism is meant to achieve without specifying the rule by which it achieves it.

1. **Interaction with Pension Credit** (section 8). The standard minimum guarantee carries its own statutory earnings link. Unless that link is also amended, it converges on and eventually overtakes a restrained state pension, at which point the sole pension population acquires means tested entitlement and the passporting regime that follows it.
2. **Specification of the deferred uprating ledger** (section 9). The ledger is the reason restraint counts as deferral rather than permanent loss. Its incidence and its legal status are unresolved, and each admits answers that would weaken the paper's central distributional claim. Its fiscal recognition is a separate matter, treated below as external.

3. **Protected payments and additional state pension** (section 10). Components of state pension income sit outside the headline rate and are uprated by a different statutory mechanism. What the Floor governs, and what drifts independently of it, has not been specified. This dependency is real but declining, since both components are closed to new accrual.

These three are internal: the paper can specify each of them. Three further assumptions lie outside the paper's control and can only be declared.

> **External dependency:** an assumption about the institutional environment which, if altered, would materially change the operation of the proposal, and which the proposal itself cannot change except by declaring its reliance upon it.

1. **The personal allowance remains reserved.** The Floor is a single UK-wide figure doing two jobs. Devolving the allowance would break it, and no amount of internal specification could repair that.
2. **The Pension Credit standard minimum guarantee remains reserved.** The specification at section 8 requires Westminster to amend its uprating. Were the guarantee devolved, the fix would have to be replicated in each jurisdiction or would not hold.
3. **Fiscal recognition of the ledger.** Whether an accrued balance is recognised as a present liability is determined by the accounting framework and the bodies applying it. See section 9.3.

None is an implementation detail. No fiscal costing or legislative drafting can be regarded as complete until the internal three are settled and the external three are declared. Readers are asked to treat four levels distinctly:

- **Architecture**: the Floor, the collar, and the objective of deferred rather than permanent restraint. Substantially settled.
- **Internal specification dependencies**: items 1 to 3. Open, and consequential for the fiscal estimate as well as the distributional claim.
- **External dependencies**: items 4 to 6. Not resolvable here, and declared rather than solved.
- **Implementation**: legislation, HMRC and DWP systems, governance and transition. Ordinary.

2. The problem

2.1 Two policies have collided

The full new state pension rose 4.8% to £241.30 a week in April 2026. For income tax it is assessed on entitlement accruing in the year rather than on payments received, which for 2026/27 is one week at the old rate and fifty-one at the new: £12,536.55. That is set against a personal allowance frozen at £12,570 and now frozen until April 2031. The gap is £33. From 2027/28 the state pension exceeds the allowance for the first time, and the triple lock's 2.5% floor makes this unavoidable.

The result is a system in which a person whose sole income is the state pension receives a tax bill. This is not a policy anyone chose. It is the arithmetic consequence of two independently popular commitments running in opposite directions.

2.2 The current fix does not work

The Budget Red Book states that the government will ease the administrative burden for pensioners whose sole income is the basic or new state pension without any increments, so that they do not have to pay small amounts of tax via simple assessment from 2027/28, and that it is exploring how to achieve this. No detail has been published, and the commitment runs only to the end of this parliament.

Three defects are already visible:

- **Coverage.** LCP estimate that the proposed exemption would apply to around one in eighteen pensioners.
- **Discrimination by system.** Around 8.1 million people receive the old basic state pension. Someone on basic plus additional state pension with income identical to a new state pension recipient falls outside the concession and pays.
- **Cliff edges.** A pensioner with £1 of other income loses the exemption and pays tax on the state pension as well, a step of roughly £88 in 2027/28, £153 in 2028/29 and £220 in 2029/30 as the pension pulls further above the allowance.

2.3 The triple lock's cost is no longer defensible as designed

The triple lock is not one policy but two protections of different vintage. The 2.5% minimum came first: it was introduced by the Labour government, announced in 2001 and effective from 2003, following controversy over the 75p a week increase that took effect in April 2000, itself the product of low inflation in September 1999. The 2010 coalition retained that minimum and added the earnings link, and it is the combination that became the triple lock. The distinction matters for what follows, because the proposal is selective about what it dismantles: it keeps the older minimum and removes the later earnings ratchet.

The OBR originally estimated the triple lock would cost £5.2bn a year more than earnings indexation by 2029/30. Its 2025 Fiscal Risks and Sustainability Report put that figure at £15.5bn, three times the original estimate, driven by inflation and earnings volatility rather than by generosity of intent. In the July 2026 report's baseline, state pension spending rises from around 5% of GDP to around 9% by 2075/76, driven by population ageing and the cost of triple-lock uprating.

No party will remove the triple lock without something to offer in its place. This paper is an attempt to specify that something.

3. The proposal

3.1 The Floor

A single figure, referred to here as the Floor, is set in legislation. In the commencement year it is set at £12,570.

- The full new state pension is paid at the Floor.
- The income tax personal allowance is equal to the Floor.

Because the allowance is set at the current level rather than the current pension level, commencement involves a small uplift to the state pension (£33 on the taxable entitlement) and no reduction in anyone's allowance. Nobody is cash worse off on day one.

3.2 The uprating rule

Each year the Floor is uprated by the September CPI figure, subject to:

- **A floor of 2.5%.** Retains the minimum protection that predates the triple lock, while removing the later earnings ratchet.
- **A cap at the higher of 3% or whole economy average weekly earnings growth.** Ensures that in an inflation spike, pensioners share in the shock rather than being fully insulated, but do not absorb more of it than working households whose wages are also rising.
- **A carry-forward ledger.** Any CPI above the applicable cap is recorded and paid out in subsequent years in which CPI falls below the cap, until the balance is exhausted. Real value is deferred, never

forgone. *This states the ledger's purpose, not its specification. Its incidence and legal status are unresolved and are treated at section 9.*

The triple lock is repealed. The earnings ratchet, which is the principal source of both excess cost and forecasting volatility, is removed.

The collar requires primary legislation. Section 150A of the Social Security Administration Act 1992 imposes a statutory earnings minimum on the full rate of the new state pension, so a rule capable of delivering less than earnings growth cannot be made by uprating order alone. See section 8, which also addresses the standard minimum guarantee governed by the same provision.

3.3 What this is not

This is **not** an age related personal allowance. Pensioners and workers receive the same allowance. The proposal deliberately avoids recreating the age related allowances abolished in 2012, and avoids a structure in which a worker on £13,000 pays more tax than a pensioner on £13,000.

3.4 The intermediate position

The collar is neither price indexation nor the triple lock, and the distinction matters more than the mechanics.

Price indexation generates large savings, but it does so because pension income declines gradually relative to average earnings. The triple lock exists because successive governments judged that outcome unacceptable, politically and socially.

Stripped of the ledger, the collar approximates price indexation with a 2.5% floor. With the ledger, it sits between the two established positions: restraint relative to earnings over time, combined with protection against nominal cuts and against unrecovered losses in an inflation spike.

Readers should not take "removing the earnings ratchet" to mean the elimination of an anomaly. It means accepting some decline in the state pension relative to earnings, in exchange for the tax guarantee, the resumption of allowance uprating and the fiscal saving. That is the central trade this paper proposes, and it should be judged as such rather than presented as a technical correction.

4. Why the peg solves the problems the current fix does not

It is definitional, not discretionary. A pensioner whose only income is the state pension cannot be taxed on it, because the pension is the allowance. There is no exemption to administer, qualify for, or lose.

It treats both pension systems identically. The guarantee is delivered through the allowance rather than through a rule about which pension you receive. Anyone whose total state pension income sits at or below the Floor is untaxed, whether they are on the old or new system. Webb's discrimination objection falls away.

It removes the cliff edge entirely. A pensioner with modest other income pays tax on that income only, at the margin, in the ordinary way. There is no step, and therefore no perverse incentive to avoid cashing a small pension pot.

It removes the simple assessment burden for the sole pension group without a bespoke administrative carve out.

5. Who gains and who loses

Group	Effect
Pensioner with state pension only	Permanent tax exemption with growing cash value (roughly £88 in 2027/28 rising to £220 by 2029/30 against a frozen allowance counterfactual). Loses the earnings ratchet. Protected against inflation spikes by the ledger (section 9).
Pensioner with modest private income	Gains a rising allowance every year. Loses the earnings ratchet on the state pension element only.
Basic rate taxpayer of working age	Gains roughly £63 in year one from a 2.5% uprating, rising to several hundred pounds a year as the gap against the frozen counterfactual compounds.
Higher earners	Gain proportionately, subject to the existing taper above £100,000.
Exchequer	Loses the freeze as a revenue lever. Gains the earnings ratchet saving, which compounds with the pensioner population.

The honest distributional point is that the pensioner at the Floor bears the largest share of the uprating restraint relative to their income. The ledger exists specifically to ensure this restraint is a deferral rather than a permanent loss, and the 2.5% floor ensures it is never a nominal cut.

6. Cost

The fiscal effect of the proposal depends on two architectural specifications left open in this discussion paper: the treatment of Pension Credit (section 8) and the legal status of the deferred uprating ledger (section 9). A third dependency at section 10 is distributionally significant but fiscally minor and declining, and is not modelled here. The figures below illustrate the scale and direction of the proposal under specified assumptions. They do not constitute a fiscal forecast and should not be cited as a costing.

A defensible costing requires HMRC microsimulation of taxpayer impacts and OBR forecasting of behavioural effects and fiscal interactions. Note also that HMRC's ready reckoner, the usual starting point for the allowance leg, rests on the March 2025 forecast, had its scheduled update deferred in July 2026, and is explicitly non-linear, so increments cannot be multiplied out.

6.1 What generates a durable saving

The collar performs three functions:

1. It smooths expenditure across the cycle.
2. It reduces volatility and improves forecastability.
3. It prevents the earnings ratchet from permanently lifting the baseline.

Only the third generates a durable saving. Where the ledger binds, restraint applied under the cap changes the timing of expenditure rather than its eventual level.

A distinction follows. Restraint under the cap improves near term cash flow whether or not an offsetting obligation exists. Whether it improves the fiscal aggregates depends on how any accrued ledger balance is recognised, which is the scoring question at section 9.3 and should not be prejudged in either direction without formal accounting advice.

The consequence for presentation is that published comparisons between the triple lock and earnings or price indexation cannot be transferred wholesale to this proposal. The durable component is narrower than those figures, and should be quoted only once modelled.

Cost side. A 2.5% uprating adds approximately £314 to the allowance. HMRC's June 2025 ready reckoner estimates that a £100 change in the personal allowance changes receipts by £810 million in

2026/27, £1.05bn in 2027/28 and £1.00bn in 2028/29, and permits those figures to be scaled as a rough guide to larger changes. On that basis the illustrative £314 increase would cost about £2.5bn in the first year, approaching roughly £1bn per £100 thereafter. The coefficient is year specific and should not be treated as a constant.

Saving side. Paying an uprating of 2.5% to 3% rather than a triple lock outcome of 4.8% on Great Britain state pension expenditure, which DWP's benefit expenditure tables put at £146.1bn for 2025/26, saves a broadly comparable amount in year one, and grows because the expenditure base grows with the pensioner population.

On these illustrative first-year calculations the two sides are of a similar order. That does not establish their relative path thereafter, which requires modelling of both trajectories under common assumptions. The proposal should not be presented as a revenue raiser in a five year window, and should not be presented as a giveaway either.

6.2 The baseline problem

Current law freezes the allowance until 2031. Measured against that baseline, the allowance side of this package scores as a costly giveaway inside the current parliament, while the pension side scores as the politically expensive half to announce. The genuine fiscal gains arrive after 2031, when the baseline reverts to CPI indexation and the collar begins saving money in most years.

This is an argument for legislating early in a parliament with a long implementation lead, not an argument against the design.

7. Objections

"You are hard wiring the tax base to a benefit rate." Correct, and this is the proposal's principal structural risk. Every future argument about pension adequacy becomes a multi billion pound tax decision. The mitigation is that the uprating rule, not the level, does the annual work, and the rule is symmetrical: it constrains both figures equally.

"The same result is available without the coupling." Also correct. Earnings indexation for the pension plus statutory CPI indexation for the allowance achieves most of the fiscal outcome. The coupling's advantage is that the guarantee becomes explicable in one sentence and cannot quietly lapse. That is a political property, not an economic one, and it is the property that makes removing the triple lock survivable.

"It is not really permanent." True. The earnings link was statutory and was suspended in 2021/22 regardless. No Parliament can bind its successor. What the design offers is that breaking it requires an explicit, visible act rather than passive erosion.

"The cap will bite in a serious inflation episode." It is designed to. The ledger is intended to ensure the loss is recovered rather than banked by the Treasury, and the earnings element of the cap ensures pensioners do not lose more than working households in the same year. The strength of that answer depends entirely on the ledger's legal status, which is unresolved: see section 9.

8. Specification dependency 1: interaction with Pension Credit

8.1 The statutory position

Section 150A of the Social Security Administration Act 1992, headed "Annual up-rating of basic pension etc and standard minimum guarantee", requires the Secretary of State to review annually, against the general level of earnings, both the full rate of the new state pension (subsection (1)(za), by reference to section 3(1) of the Pensions Act 2014) and the amounts of the standard minimum guarantee in Pension

Credit (subsection (1)(d), by reference to section 2(4) and (5) of the State Pension Credit Act 2002). Where earnings have risen over the review period, subsection (2) requires a draft order increasing those amounts by not less than the increase in earnings.

Two consequences follow, and they are of different weight.

The first is procedural. The collar at 3.2 can deliver less than earnings growth, so it requires primary legislation modifying the section 150A uprating duty as it applies to the new state pension. The earnings floor is imposed by section 150A(2), which requires an order increasing each of the amounts listed in subsection (1) by at least the increase in earnings; the paragraph naming the new state pension, subsection (1)(za), identifies the amount but does not itself impose the duty. The collar therefore cannot be delivered by amending that paragraph alone, and the precise drafting is a matter for parliamentary counsel. Parliament has modified section 150A before, in the Social Security (Up-rating of Benefits) Act 2021, which required the subsection (1) amounts to be reviewed against prices rather than earnings for 2021/22; that precedent shows the machinery can be modified, not that the pension and the standard minimum guarantee can be treated differently within it, which is the separate question at section 8.

The second is architectural. If section 150A is amended only in respect of the state pension, the standard minimum guarantee continues to rise at least in line with earnings while the pension is restrained.

8.2 The convergence

In 2026/27 the single standard minimum guarantee is £238.00 a week and the full new state pension is £241.30 a week. The gap is £3.30.

The proposition is conditional and does not rest on any claim about how often the collar binds:

> Whenever earnings growth exceeds the collar for a sustained period, the standard minimum guarantee converges on and ultimately overtakes the restrained state pension, unless the uprating rules for the guarantee are also amended.

Given the size of the current gap, the margin available before convergence is small.

At crossover, a person whose sole income is the full new state pension acquires entitlement to Guarantee Credit. The cash award at that point is trivial. The fiscal consequence is not, because entitlement of any amount passports the claimant to Council Tax Reduction, the free TV licence at 75, NHS cost exemptions, Cold Weather Payments and the Warm Home Discount, a package estimated at £2,000 to £3,500 a year per household. Against a current caseload of 1.4 million people receiving Pension Credit at August 2025, with 1.6 million beneficiaries including partners, movement of even a modest fraction of the sole pension population would exceed the uprating saving the proposal exists to generate.

The consequence is not a single Exchequer number. The passporting chain runs across reserved, devolved and local budgets: Council Tax Reduction is a local scheme, and Scotland pays its own pension age winter heating payment. Part of the cost induced by a crossover would therefore fall outside Westminster's directly controlled expenditure totals, on budgets that had no part in the decision.

This is not a leakage adjustment to a costing. It is a defect in the specification at section 3: as drafted, the proposal creates two statutory uprating mechanisms that diverge until they collide, and it does so for precisely the population the Floor is designed to protect.

8.3 The two available specifications

Option A. Apply the Floor rule to the guarantee. The collar, floor and ledger are applied to the standard minimum guarantee by modifying the section 150A uprating duty as it applies to that amount as well as to the new state pension. As at 3.2, the drafting is a matter for parliamentary counsel.

- Preserves the architecture by construction. The relationship between guarantee and pension is held constant and cannot converge.
- Adds nothing to the legislative burden, since section 150A must be amended in any event.
- Deliberately restrains the incomes of the poorest pensioners, predominantly old system claimants with incomplete contribution records. This is the hardest element of the package to defend. The 2.5% floor and the ledger apply to the guarantee for exactly this reason, so that the restraint is a deferral and never a nominal cut.

Option B. Define the guarantee by reference to the Floor, at a fixed differential or proportion.

- Presentationally stronger, since it frames the guarantee as anchored to the Floor rather than restrained alongside it.
- Precedent exists for setting the guarantee against the pension rather than earnings: from 2010/11 to 2015/16, and again in 2018/19, it was increased by the cash rise in the basic state pension, above the statutory earnings minimum.
- Economically it is the same instrument. It controls the guarantee's uprating relative to the pension and equally requires Parliament to legislate away from the earnings link in section 150A(1)(d).

The paper does not present this as a choice between a solution and a problem. Both options require the same legislative act and produce broadly the same distributional outcome. Option B is Option A with a better title, and the paper says so rather than relying on the framing.

8.4 What must be modelled before publication of any costing

- The size of the sole state pension population and its distribution relative to the guarantee, which determines the scale of any crossover event.
- Passported cost per marginal claimant, which is the dominant term and substantially exceeds the Guarantee Credit award itself. This must be disaggregated by paying budget rather than presented as a single Exchequer figure, since the chain spans reserved, devolved and local expenditure.
- Take-up. Around 62% of eligible households claim, leaving an estimated £2.5bn unclaimed annually. Entitlement therefore overstates expenditure. The paper does not rely on this. A saving that depends on eligible people failing to claim is not a saving that can be defended, and both full take-up and observed take-up cases should be presented.
- The offsetting effect on the pensioner Council Tax Reduction scheme, which assesses income net of tax, so that a higher personal allowance marginally reduces entitlement. This runs in the Exchequer's favour and is expected to be small.

Note that the allowance leg of the proposal is neutral for Guarantee Credit, which is assessed on gross income. Only the uprating leg creates the interaction.

9. Specification dependency 2: the deferred uprating ledger

9.1 What the ledger is currently carrying

The draft describes the ledger's purpose but does not specify the instrument. It nonetheless supports three separate arguments: that restraint is deferral rather than permanent loss (section 5); that the collar is defensible in an inflation spike (section 7); and that Option A's restraint of the poorest pensioners is tolerable (section 8.3). If the ledger does not behave as described, all three weaken simultaneously.

Two questions are architectural rather than administrative.

9.2 Incidence: who owns the deferred value

If the balance is held as a single national percentage applied to the Floor, it does not repay the people who bore the restraint. Individuals receive pensions; cohorts do not.

A collective ledger therefore produces effects the draft does not currently discuss:

- A pensioner who dies before the balance unwinds never receives their deferred value.
- A person reaching state pension age after the spike receives an uplift for restraint they never experienced.
- Birth cohorts subsidise one another through the mechanism.

These are not necessarily objections. Every pay as you go system contains intergenerational transfers, and the state pension is not a funded individual entitlement. But they follow from choosing a collective ledger, and the paper should state them rather than imply an individual guarantee it does not provide.

The alternative, an individual ledger recording each pensioner's foregone uprating and repaying it to that person, would require per claimant accrual records maintained across decades and would move the state pension away from a flat rate benefit towards an individual account. That is a different proposal, not a variant of this one.

Provisional design recommendation. An individual ledger would layer defined contribution style accounting onto a pay as you go scheme, raising questions of inheritance, record keeping, migration, divorce and deferred claims that are alien to the current design. A collective ledger preserves the existing character of the scheme and is therefore the preferred basis for further modelling unless evidence demonstrates otherwise. This is a provisional recommendation within an unresolved dependency rather than a settled specification, and the incidence effects above should be stated openly rather than left for readers to infer an individual entitlement the mechanism does not provide.

9.3 Legal status and fiscal scoring

Two questions sit here, and they belong to different classes. The ledger's legal status is internal: the paper can specify it. Its fiscal recognition is external: that is determined by the accounting framework and the bodies applying it, and the paper can only declare reliance on the answer.

The ledger's value depends on whether it binds, and both answers are unattractive in opposite directions.

If binding, the government acquires an enforceable obligation to restore foregone uprating in later years. A reasonable question then arises as to whether the obligation should be recognised when it is created rather than when it is discharged. Whether the OBR and the relevant accounting framework would treat an accrued balance as a present liability is a technical question that cannot be settled from first principles and requires their view. If they would, the scored improvement in a spike year is materially smaller than the cash saving, which bears directly on section 6, and the fiscal case for the collar rests more heavily on its steady state effect than on its performance in a shock.

If not binding, the ledger is a statement of intent. It can be abandoned by a future government in precisely the circumstances that created the balance, and it provides none of the assurance the paper draws from it. This is the same vulnerability identified at section 7 in respect of the Floor itself, but with a sharper edge: breaching the Floor would be visible and immediate, whereas quietly declining to unwind a ledger balance is close to invisible.

An intermediate specification is available: a statutory duty to have regard to the accrued balance, with an obligation to report its size and unwinding to Parliament, falling short of an enforceable payment obligation. This is weaker than the paper currently implies and stronger than nothing. Its scoring treatment would also need to be established rather than assumed.

9.4 What must be resolved

- Whether the ledger is collective or individual, recognising that the individual option changes the proposal rather than refining it.
- Legal status: enforceable duty, duty to have regard, or policy statement.
- Accounting and scoring treatment of any accrued balance, established with the OBR rather than inferred.
- Unwind rules: order of priority, maximum annual release, and whether a balance can expire.
- Publication and verification of the running balance.

10. Specification dependency 3: protected payments and additional state pension

10.1 Why this is architectural rather than transitional

Earlier drafts listed this among implementation matters. It carries the same signature as the first two dependencies: the paper describes what the Floor governs without specifying the rule that determines it.

Components of state pension income already operate under uprating rules separate from the full new state pension. A single person's pension can therefore be uprated on two tracks at once, and the Floor would alter one without automatically altering the other. Two components produce this, by different statutory routes.

Additional state pension. Entitlement accrued under SERPS and S2P is uprated in line with prices under section 150(1)(c) of the Social Security Administration Act 1992, not under section 150A. The separation is created by the legislation rather than merely resulting from it: section 150 expressly excludes from its own scope the amounts listed in section 150A(1).

Protected payments. These are the part of a person's new state pension, based on their pre 2016 contribution record, that exceeded the full rate of the new state pension as at 6 April 2016. They are governed by neither section 150 nor section 150A but by section 151A of the Administration Act, which provides for the up-rating of transitional state pensions under the 2014 Act; before pensionable age the same amount is separately revalued under section 148AC by reference to the increase in the general level of prices since April 2016.

Schedule 2 to the Pensions Act 2014 states the consequence rather than leaving it to be inferred. Where a transitional rate exceeds the full rate, the part up to the full rate rises whenever the full rate rises, while the excess rises only when an order under section 151A comes into force.

Four questions follow, and together they determine what the Floor actually governs:

- Does the collar apply to these components, or only to the headline rate?
- If they remain on prices, does the ledger touch them at all, given that they are not restrained and so accrue no deferred value?
- Are they permanently outside the Floor mechanism?
- Does the answer create two pension populations with divergent long run dynamics?

10.2 The divergence

If the components remain on plain CPI while the Floor moves under the collar, they diverge in both directions and for different reasons.

In a low inflation year the Floor rises 2.5% because its floor binds, while the CPI linked components rise by less. The Floor pulls ahead.

In an inflation spike the Floor is capped and banks the excess to the ledger, while the CPI linked components rise by the full CPI figure with nothing withheld and nothing to recover. The components pull ahead in cash terms, and their treatment is unambiguously better, because they were never restrained in the first place.

Neither outcome has been chosen. The ratio between the headline rate and the components would drift according to the interaction of two rules designed independently of one another.

10.3 The consequence for the guarantee

The guarantee at section 4 is that state pension income at or below the Floor is untaxed. That holds. But the size of the population whose state pension income exceeds the Floor, and which therefore falls outside the guarantee, is determined by a rule the Floor does not control and which moves independently of it.

This is a weaker version of the problem at section 8. It produces no collision, and the drift is not consistently adverse. But the paper should not claim that the Floor resolves the disparity between the old and new systems without also stating that a residual disparity persists by design, governed elsewhere in the statute.

10.4 Why this dependency carries less weight than the first two

Both components are closed. No protected payment has accrued since April 2016, and the additional state pension is closed to new accrual. The affected population declines by mortality and does not renew.

That distinguishes this dependency from the Pension Credit interaction, which grows, and from the ledger, whose significance is permanent. It is real, and architectural in the sense that it determines what the Floor governs, but it is a declining problem with a natural terminus. It should be specified rather than solved at the expense of the rest of the design.

10.5 The options

- **Leave the components on prices under section 150.** Simplest, preserves the accrued rights framing, and accepts the drift described above.
- **Bring them within the collar.** Consistent, but applies a cap to contributory accruals. That raises acquired rights questions the headline rate does not, since the headline rate is a forward looking benefit level rather than a record of individual accrual.
- **Freezing them in cash terms should be rejected.** It would impose a real terms cut on accrued rights in order to protect a mechanism introduced later.

Whichever option is taken forward, the transition will require legal advice on compatibility with Convention rights, particularly where accrued contributory elements are affected. This is legal due diligence rather than an architectural dependency, and the paper should not attempt to resolve it from first principles.

11. Implementation

11.1 Matters to resolve

- Whether the National Insurance primary threshold moves in step, without which working age relief is materially smaller than headline.
- Deferral and uprating for pensioners resident overseas.
- Devolved income tax rates in Scotland, noting that the personal allowance itself is reserved.

11.2 Sequence

1. Legislate in the first session of a parliament, with commencement at the start of the third tax year following Royal Assent.
2. Publish the OBR costing of both legs against both the current frozen baseline and a CPI indexed baseline, to prevent the package being characterised on the frozen baseline alone.
3. Statutory review after ten years, reporting on the value of the Floor relative to earnings and to a poverty benchmark.

Annex: worked stress test

The 2022 to 2023 episode, illustrative.

September 2022 CPI, the measure governing the April 2023 uprating, was 10.1%. Annual growth in average weekly earnings, total pay including bonuses, was 5.5% in May to July 2022, the period the earnings leg uses; regular pay excluding bonuses grew by 5.2% over the same period.

- Triple lock outcome: 10.1%.
- Under this proposal: cap is the higher of 3% and 5.5%, so uprating is 5.5%. The remaining 4.6 percentage points are banked to the ledger.
- Saving in that year: roughly 4.6% of state pension expenditure.
- Pensioner outcome: a real terms reduction comparable to that experienced by working households in the same year, subsequently recovered from the ledger in years when CPI runs below the cap.

A low inflation year.

September CPI of 0.5%.

- Uprating: 2.5%, by operation of the floor. Ledger balance, if any, is unaffected because CPI is below the cap and the floor is already binding above it.
- Pensioner outcome: a real terms gain, and no repeat of 1999.

Sources

Every world-facing figure and legal proposition in this paper is listed below. Where a source's vintage or statistical object is part of what is being claimed, the body text says so; these entries establish provenance only.

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Uprating and thresholds, 2026/27. House of Commons Library, *Benefits uprating 2026/27*: the basic and new State Pensions uprated by 4.8% from April 2026 in line with average weekly earnings growth for May to July 2025, taking the new State Pension to £241.30 a week; the Pension Credit standard minimum guarantee at £238.00 a week for a single pensioner. House of Commons Library, *Income tax: personal allowance* and the Library's fiscal drag material, for the £12,570 allowance frozen since April 2021 and extended at Budget 2025 to April 2031, given effect by the Finance Act 2026.

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The 2.5% minimum. House of Commons Work and Pensions Committee, on the indexation supplemented in 2001 by a minimum annual increase of 2.5%, following controversy over the 75p increase prompted by low inflation in 1999.

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Annex. Office for National Statistics, *Labour market overview*, September 2022, for annual growth in average weekly earnings of 5.5% on total pay including bonuses and 5.2% on regular pay in May to July 2022; ONS consumer price inflation for September 2022 CPI of 10.1%.